

Hazard Insurance Requirements

1 TO 4-UNIT SINGLE FAMILY RESIDENCE

Property insurance must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Extended coverage must include, at a minimum, wind, hurricane, civil commotion (including riots), smoke, hail, and damages caused by aircraft, vehicle or explosion.

* Manufactured Homes follow same guidelines of 1 to 4 Single Family guidelines

EVIDENCE OF INSURANCE

- Files must have a homeowner's insurance policy
- New policies must be valid for one year including the expiration date
- Refinances must have original policy and paid receipt (preferred) (copy of original policy accepted)
- The policy must contain all of the following:
 - Borrower's name(s) must be shown as primary insured
 - Title-only borrowers may be, but are not required to be, shown on the policy
 - Additional insureds or substitute names, not on new mortgage including LLC's are not acceptable under any circumstances.
- Property address must match mortgage records (mortgage, note, and title policy) exactly
- Policy inception and expiration dates must be clearly indicated with contact info Insurance carrier and agent must be clearly indicated with contact information.
- If required by Underwriting, additional coverage types such as wind/storm or earthquake must be provided
- Coverage must be equal to or the lesser of the following:
 - 100% of the insurable value of the improvements as established by the property insurer; or
 - The unpaid principal balance of the mortgage as long as it equals the minimum amount - 80% of the insurable value of the improvements -required to compensate for damage or loss on a replacement cost basis. If it does not, then the coverage that does provide the minimum required amount must be obtained.

CALCULATING THE REQUIRED AMOUNT OF COVERAGE

Step	Description
1	Compare insurable value of improvements (per property insurer) to unpaid principal balance (UPB) of mortgage
1A	If insurable value of improvements is less than UPB, insurable value is amount of coverage required
1B	If UPB of mortgage is less than insurable value of improvements, go to Step 2
2	Calculate 80% of the insurable value of the improvements
2A	If the result of this calculation is equal to or less than UPB of the mortgage, the UPB is the amount of coverage required
2B	If the result of this calculation is greater than UPB of the mortgage, this calculated figure is the amount of coverage required

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Category	Property A	Property B	Property C
Insurable Value	\$90,000	\$100,000	\$100,000
UPB	\$95,000	\$90,000	\$75,000
80% Insurable Value	-----	\$80,000	\$80,000
Required Coverage	\$90,000	\$90,000	\$80,000
Calculation Method	Step 1A	Step 2A	Step 2B

CONDO UNIT

Cases where Condominium units are in an association that has owners provide their own homeowners coverage, dwelling coverage must be equal to the loan amount as the land is not owned by the unit owner and is not part of the total value.

DEDUCTIBLE

Homeowner's policy deductibles cannot exceed 5% of the dwelling coverage. Windstorm, Hail, and/or Hurricane coverage deductibles (whether included in the homeowner's policy or written under a separate policy) cannot exceed 5% of the dwelling coverage, unless a higher deductible is required by state law.

USDA LOANS

Borrower occupied properties must have replacement cost coverage in an amount equal to the insured value of the improvements or the unpaid principal balance. Deductible(s) cannot exceed 1% of policy coverage, or minimum deductible offered by the borrower's chosen insurance carrier.

MORTGAGEE CLAUSE

The *mortgagee clause* appearing on your borrower's homeowner's insurance for all loans, including HELOCs and Construction loans, must read:

Broker

Flagstar Bank, N.A.
ISAOA ATIMA
P.O. Box 7646 Springfield, OH
45501-7646

Correspondent

Lender's name as reflected on the
Note/Security Instrument
Its Successor and/or assigns
(Lender's address);

or

Flagstar Bank, N.A.
ISAOA ATIMA
PO Box 7646
Springfield, OH 45501-7646

Although Flagstar will accept policies which show the correspondent as the loss payee, upon purchase of the loan by Flagstar the correspondent must immediately send an endorsement notice requesting insurance provider to update Flagstar as the new loss payee, using the name and address above.

Correspondents must also forward all insurance related trailing documents they may receive while the policies still show them as mortgagee following funding of the loan to the Flagstar Bank address shown above.

If more than one policy is required, a letter for each policy must be submitted. ***This is especially important on flood policies.*** See *Flood Insurance*, [Doc. #4603](#) for details.

ACCEPTABLE PAID RECEIPT

- Each policy must have a paid receipt.
- New policies must be valid for one year
- Refinances must have original policy and paid receipt (preferred)
- In lieu of providing a paid receipt, evidence of amount disbursed on the Closing Disclosure is acceptable for both purchase and refinance transactions
- Copy of original policy, certified as a true and exact copy by the agent. TPO Customers or the borrower cannot certify the copy. Faxed copies are not acceptable.

REFINANCES

On a refinance, an endorsement will be required to reflect the change in the amount of coverage if the new loan amount exceeds the current coverage.

- If an existing policy is being used, the policy must have a minimum of 30 days remaining before expiration / renewal from the date of closing
- Any policies renewing at, prior to, or within 30 days of closing will be the responsibility of the borrower or closing / disbursement agent to ensure remittance to the carrier for the next 12-month period. See the following example:

<u>Loan Disbursement Date</u>	<u>First Payment Date</u>	<u>Current Policy Expiration Date</u>	<u>Number of Months Required in Reserves</u>
10/1/2020	12/1/2020	5/1/2021	8

Please use *Hazard Insurance Information for Refinance Transaction*, [Doc. #3610](#) for all loans where the borrower's policy is renewing within 30 days of closing.

Complete document by checking the appropriate action being taken:

- Funds collected by the settlement agent
- Indicates they will be making remittance directly to the insurance company, or
- Borrower paying directly to insurance company
- Borrower acknowledges they understand they will be responsible for the upcoming renewal if that renewal was not available at the time of closing

Insurance must be effective no later than the consummation date, i.e. the date the borrower(s) sign(s) the note/security instrument except for escrow state purchases. All escrow state purchases require hazard insurance to be effective prior to or on the disbursement/funding date.

SPECIAL COVERAGES

Mortgaged premises must be protected against loss or damage from fire and other perils covered within the scope of standard extended coverage

- Hazards for which the investors and Flagstar Bank may require coverage for which are not incorporated on homeowners' policies or fire policies include:
 - Windstorm/Hail coverage
 - Earthquake coverage
 - Standard exclusion of Flood damage

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- Possible exclusion of Mudslide damage

WINDSTORM, HAIL, HURRICANE, COVERAGE

- Required peril under both terms of Freddie Mac and Fannie Mae
- Coverage should be obtained for properties located in AL, FL, GA, HI, LA, MS, NC, NY, SC, TX, and allowable U.S. territories
- Coverage must match criteria set forth as stated above
- Deductible cannot exceed 5% of the dwelling coverage
- If the Hazard Insurance policy limits or excludes any required perils that are normally included under an extended coverage endorsement, such as:
 - Windstorm (Including names storms designated by the U.S. National Weather Service or the National Oceanic and Atmospheric Administration by a name or number)
 - Hail and/or hurricane
 - Smoke
 - Riots and/or civil disturbances
 - Aircraft and/or vehicles, etc

Separate policy covering the required perils must be provided covering the items excluded from the homeowner's policy.

EARTHQUAKE COVERAGE

Earthquake coverage is only required on Single Family Residences in Puerto Rico if the investor is FHLMC. However, borrowers may choose to purchase this coverage. If borrowers elect to purchase Earthquake coverage for their protection, Flagstar Bank must be named as mortgagee.

If the Hazard Insurance policy limits or excludes any required perils that are normally included under an extended coverage endorsement, such as:

- Windstorm
- Hail and/or hurricane
- Smoke
- Riots and/or civil disturbances
- Aircraft and/or vehicles, etc

Separate policy covering the required perils must be provided covering the items excluded from the homeowner's policy.

PLANNED UNIT DEVELOPMENTS

- Requirements for 1 to 4-family and multi-family properties apply to similar residential properties within a planned unit development (PUD). The unit owners' own Homeowner's Policy (if not covered by the Master Policy) must follow the same criteria as 1 to 4-family properties.
- Borrowers must show evidence of hazard insurance coverage for all properties with attached units that cover fixtures, equipment, and other personal property inside individual units if they will be financed by the mortgage.
- Borrowers must show evidence of a "walls-in" coverage policy unless they can document the master policy provides the same interior unit coverage.

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- The master policy must include replacement of improvements and betterment coverage to cover any improvements that may have made to the unit.

If individual units are covered by insurance purchased by their respective owners, the PUD homeowner's association must maintain "all risk" coverage for common areas and property for 100% of their insurable value and providing for loss or damage settlement on a replacement cost basis. The association must also obtain any additional coverage commonly required by private mortgage investors for developments similar in construction, location and use, including the following where applicable and available:

- Agreed Amount
- Demolition Cost
- Increased Cost of Construction
- Boiler and Machinery

COVERAGE MINIMUM

Insurer's minimum liability per accident under boiler and machinery coverage must equal the insurable value of the building housing such boiler or machinery or \$2 million whichever is less.

DEDUCTIBLES

Deductibles may not exceed the lower of \$10,000 or 1% of the applicable amount of coverage. Funds for such deductibles must be included in the association's reserves and be so designated.

BLANKET POLICY

Flagstar Bank will also accept blanket insurance covering all units in the PUD as well as insurable common areas and property, if called for in the PUD's constituent documents. Such coverage must meet the requirements applicable to each PUD unit and those applicable to insurable common areas and property. Deductibles are allowed under this blanket coverage provided that the deductible for losses to an individual does not exceed the lower of \$1,000 or 1% of the unit's insurable value. Funds for any deductibles must be included and designated in the association's reserves. The PUD's insurance policy must name the insured in substantially the same language indicated below:

"Association of Owners of the [PUD Name] Planned Unit Development for the use and benefit of the individual owners (designate by name, if required by law or the constituent document.)"

CONDOMINIUMS

The condominium owner's association must maintain blanket "all risk" coverage for the following:

- General and limited common elements within the condominium
- Fixtures, machinery, equipment, and supplies maintained for the service of the condominium
- Fixtures, improvements, alterations, and equipment within the individual units

Coverage must be for 100% of the insurable value of the common elements or property described above and provide for loss or damage settlement on a replacement cost basis. An insurance policy that includes either of the following endorsements ensures full insurable value replacement cost coverage:

- A Guaranteed Replacement cost Endorsement (under which the insurer agrees to replace the insurable property regardless of the cost) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance); or

Hazard Insurance Requirements

- A Replacement Cost Endorsement (under which the insurer agrees to pay up to 100% of the property's insurable replacement cost, but no more) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance).

The policy must have a minimum of 15 days remaining before expiration / renewal from the date of closing.

DEDUCTIBLES

Deductibles may not exceed 5% of the applicable amount of coverage. Funds for such deductibles must be included in the associations' reserves and be so designated.

If the deductible exceeds the 5% maximum due to a per unit deductible for named perils specific to a geographic area, the Mortgage is eligible for sale to Freddie Mac if the individual is covered by the unit owner HO-6 policy. The unit owner policy must include the same perils as the condominium associations homeowner's policy, cover master policy assessments levied on the unit owner and carry a sufficient coverage amount to cover the per unit amount over the permissible 5% limit.

For example:

- Condominium association policy limit: \$6,000,000
- Number of units: 20
- Condominium association policy deductible: \$80,000
- Condominium association separate per unit deductible for ice dam coverage: \$40,000

The master deductible of \$80,000 is 1.33% of the building coverage ($\$80,000/\$6,000,000$) and does not exceed the 5% deductible requirement. However, the per unit deductible is 13.3% ($(\$40,000 \times 20 \text{ units})/\$6,000,000$) which is above the 5% maximum requirement and the policy is not acceptable.

The maximum per unit deductible needed to meet the 5% deductible requirement is \$15,000 ($(\$6,000,000/20) \times .05$). To be eligible, the unit owner needs an HO-6 policy that would cover the \$25,000 per unit coverage ($\$40,000 - \$15,000 = \$25,000$).

SPECIAL ENDORSEMENTS FOR CONDOMINIUM PROJECTS

- Building Ordinance or Law Endorsement, if the enforcement of any building, zoning or land-use results in loss or damage, increased cost of repairs or reconstruction, or additional demolition and removal costs. (The endorsement must provide for contingent liability from the operation of building laws, demolition costs, and increased costs of reconstruction.); and
- Steam Boiler and Machinery Coverage Endorsement, if the project has central heating or cooling. (This endorsement should provide for the insurer's minimum liability per accident to at least equal the lesser of \$2 million or the insurable value of the building(s) housing the boiler or machinery.) In lieu of obtaining this endorsement to the commercial package policy, the project may purchase separate standalone boiler and machinery coverage.

CALIFORNIA CONDOMINIUM EARTHQUAKE INSURANCE

Flagstar Bank does not require earthquake insurance for Fannie Mae or Freddie Mac warrantable projects.

REQUIRED VERBIAGE

The insurance policy of the condominium owners' association must name the insured using substantially the same language as indicated below:

Hazard Insurance Requirements

"Association of Owners of the [Condo Name] Condominium for the use and benefit of the individual owners (designated by name, if required by law or the constituent documents)."

REQUIRED DOCUMENTATION

Evidence of insurance must include all required endorsements, schedules and declaration pages associated with the policy.

HO-6-CONDO UNIT OWNERS COVERAGE

Borrowers must show evidence of hazard insurance coverage for all condominium projects with attached units, including 2 to 4-unit projects that cover fixtures, equipment, and other affixed property inside individual units if they will be financed by the mortgage. Borrowers must show evidence of a "walls-in" coverage policy (commonly known as HO-6 policy) unless they can document that the master policy provides the same interior unit coverage. The master policy must include replacement of improvements and betterment coverage to cover any improvements that may have been made to the unit. The Certificate of building coverage under the master for the association must be collected.

Insurance must be effective not later than the consummation date, i.e. the date the borrower(s) sign(s) the note/security instrument except for escrow state purchases. All escrow state purchases require hazard insurance to be effective prior to or on the disbursement/funding date.

FHA/VA CONDOMINIUM TRANSACTIONS

HO-6 insurance premiums must be included in the borrower's housing ratio; escrows must be collected at closing, and then reflected on the Closing Disclosure. Flagstar will not purchase or fund a loan secured by a condominium if the HO-6 escrows are not collected at closing.

REQUIRED COVERAGE

The HO-6 policy must also include wind and hurricane coverage if the property is located in a hurricane prone area.

COVERAGE AMOUNT

CONVENTIONAL

The coverage amount listed on Line A (real property, building coverage or dwelling) on the HO-6 (condo unit owners policy) must provide sufficient coverage as determined by the insured to repair the unit to its condition prior to the loss claim event.

- HO-6 insurance premium must be included in the borrowers housing ratio.

FHA/VA

The coverage amount listed on Line A (real property, building coverage or dwelling) on the HO-6 (condo unit owners policy) must provide sufficient coverage as determined by the insured to repair the unit to its condition prior to the loss claim event

FULL CONDOMINIUM REVIEW

In addition to the requirements above, projects that require a full review must meet requirements listed under Cooperative properties.

COOPERATIVE PROPERTIES

FIDELITY (EMPLOYEE DISHONESTY) BOND INSURANCE

Projects with over 20 units must show evidence of the fidelity (employee dishonesty) bond coverage. The HOA must be named as the insured. The HOA must carry fidelity bond insurance which covers the maximum funds that are in the custody of the HOA (or co-op corporation) or its management agent at any time while the policy is in force. A lesser amount of coverage (the sum of three months of assessments on all units in the project) is acceptable if the project's legal documents require the homeowners' association and any management company to adhere to one or more of the following financial controls:

- Separate bank accounts are maintained for the working account and the reserve account, each with appropriate access controls, and the bank in which funds are deposited sends copies of the monthly bank statements directly to the homeowners' association, or the co-op corporation.
- The management company maintains separate records and bank accounts for each homeowners' association or co-op corporation that uses its services, and the management company does not have the authority to draw checks on, or transfer funds from, the homeowners' association's or co-op corporation's reserve account.
- Two members of the Board of Directors must sign any checks written on the reserve account.

Even then, the fidelity insurance coverage must equal at least the sum of three months of assessments on all units in the project.

LIABILITY INSURANCE

Each project must have \$1,000,000 business liability insurance coverage with HOA named as the insured.

MASTER HAZARD INSURANCE

Coverage must equal 100% of the insurable replacement cost of the project improvements, and the deductible cannot exceed 5% of the policy face amount.

INVESTMENT PROPERTIES

Flagstar has adopted the following guideline to prevent any liability issues that could arise from multiple servicers acquiring the servicing of multiple properties that are insured under one blanket hazard policy:

- Borrowers insuring multiple investment properties with escrow accounts for hazard insurance must provide a separate insurance policy for each property being insured.
- If, for economic reasons, the borrower requires that multiple properties be covered under one "blanket" policy, they are precluded from escrowing for hazard insurance, and may only escrow for taxes and flood insurance (if required).

ONE-TIME AND TWO-TIME CONSTRUCTION

Builders risk insurance is a special type of property insurance which indemnifies against damage while under construction. Builders risk insurance is "coverage" that protects a person's insurable interest in materials, fixtures, and/or equipment being used in the construction or renovation of their home if those items sustain physical loss or damage from a covered cause.

Insureds can include not only the contractor(s) performing the work but also the homeowner.

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HOMEOWNER'S BUILDER'S RISK INSURANCE

Covers perils such as fire, wind, theft and vandalism and many more. This policy does not cover accidents and injuries at the workplace and is intended to terminate when the work has been completed and the property is ready for use or occupancy. Coverage must be effective on or before closing date of the construction loan.

BUILDER'S LIABILITY INSURANCE POLICY

Coverage is purchased by the builder or general contractor. This policy covers accidents and injuries at the workplace. This policy is required to be supplied to Granite Loan Management.

REQUIRED COVERAGE

For the One-Time Construction product, the homeowners builders risk policy should have the coverage equal or greater than the following:

- The loan amount

Please be advised that wholesale customers may be responsible for any losses incurred on loans that were closed or funded outside of these insurance guidelines.

PROPERTY INSURANCE RATING REQUIREMENTS

All property insurance ratings will be obtained/confirmed during servicing review. No additional steps are required during the loan origination process.